

Submission ACCT1-QUIZ-SUB01

Question ACCT1-QUIZ-Q01

scratch: show step

1. Dr Cash 531; Cr Service Revenue 531
2. Dr Supplies 466; Cr Accounts Payable 466
3. Assets increase by cash+supplies; liabilities increase by payable; equity increases by revenue.
=> FINAL: Dr Cash 531/Cr Revenue 531; Dr Supplies 466/Cr A/P 466; A=L+E remains balanced (check units/interpretation)

Question ACCT1-QUIZ-Q02

scratch: show step

1. Monthly revenue= $753/6=126$
2. Dr Unearned Revenue 126; Cr Service Revenue 126
3. Remaining liability=628
=> FINAL: Dr Unearned Revenue 126; Cr Revenue 126; liability=628 (check units/interpretation)

Question ACCT1-QUIZ-Q03

scratch: show step

1. Assets = Liabilities + Equity
2. Equity= $1627-562=1065$
3. The equation must balance after every recorded transaction.
=> FINAL: equity=\$1065; assets=liabilities+equity (check units/interpretation)

Question ACCT1-QUIZ-Q04

scratch: show step

1. Current ratio= $1709/1085=1.58$
2. Above 1 means current assets exceed current liabilities, not that all assets are cash.
=> FINAL: current ratio=1.58; assets exceed liabilities if ratio>1 (check units/interpretation)

Question ACCT1-QUIZ-Q05

scratch: show step

1. Cash receipt before performance does not by itself create earned revenue.
2. Record contract liability/unearned revenue, then recognize revenue as the performance obligation is satisfied.
=> FINAL: record unearned revenue first; recognize revenue as performance occurs (check units/interpretation)